

proven so rewarding to its stockholders, is an outstanding example of the ideal conservative long-range investment. Here is a company which in the public mind is almost synonymous with outstandingly successful research. However, what is not as well known is that this company selects and trains its sales personnel with the same care as it handles its research chemists. Before a young college graduate becomes a Dow salesman, he may be invited to make several trips to Midland so that both he and the company can become as sure as possible that he has the background and temperament that will fit him into their sales organization. Then, before he so much as sees his first potential customer, he must undergo specialized training that occasionally lasts only a few weeks but at times continues for well over a year to prepare him for the more complex selling jobs. This is but the beginning of the training he will receive; some of the company's greatest mental effort is devoted to seeking and frequently finding more efficient ways to solicit from, service, and deliver to the customer.

Are Dow and the other outstanding companies in the chemical industry unique in this great attention paid to sales and distribution? Definitely not. In another and quite different industry, International Business Machines is a company which has (speaking conservatively) handsomely rewarded its owners. An IBM executive recently told me that the average salesman spends a third of his entire time training in company-sponsored schools! To a considerable degree this amazing ratio results from an attempt to keep the sales force abreast of a rapidly changing technology. Nevertheless I believe it one more indication of the weight that most successful companies give to steadily improving their sales arm. A one-time profit can be made in the company which because of manufacturing or research skill obtains some worthwhile business without a strong distribution organization. However, such companies can be quite vulnerable. For steady long-term growth a strong sales arm is vital.

POINT 5. Does the company have a worthwhile profit margin?

Here at last is a subject of importance which properly lends itself to the type of mathematical analysis which so many financial people feel is the backbone of sound investment decisions. From the standpoint of the investor, sales are only of value when and if they lead to increased profits. All the sales growth in the world won't produce the right type of investment